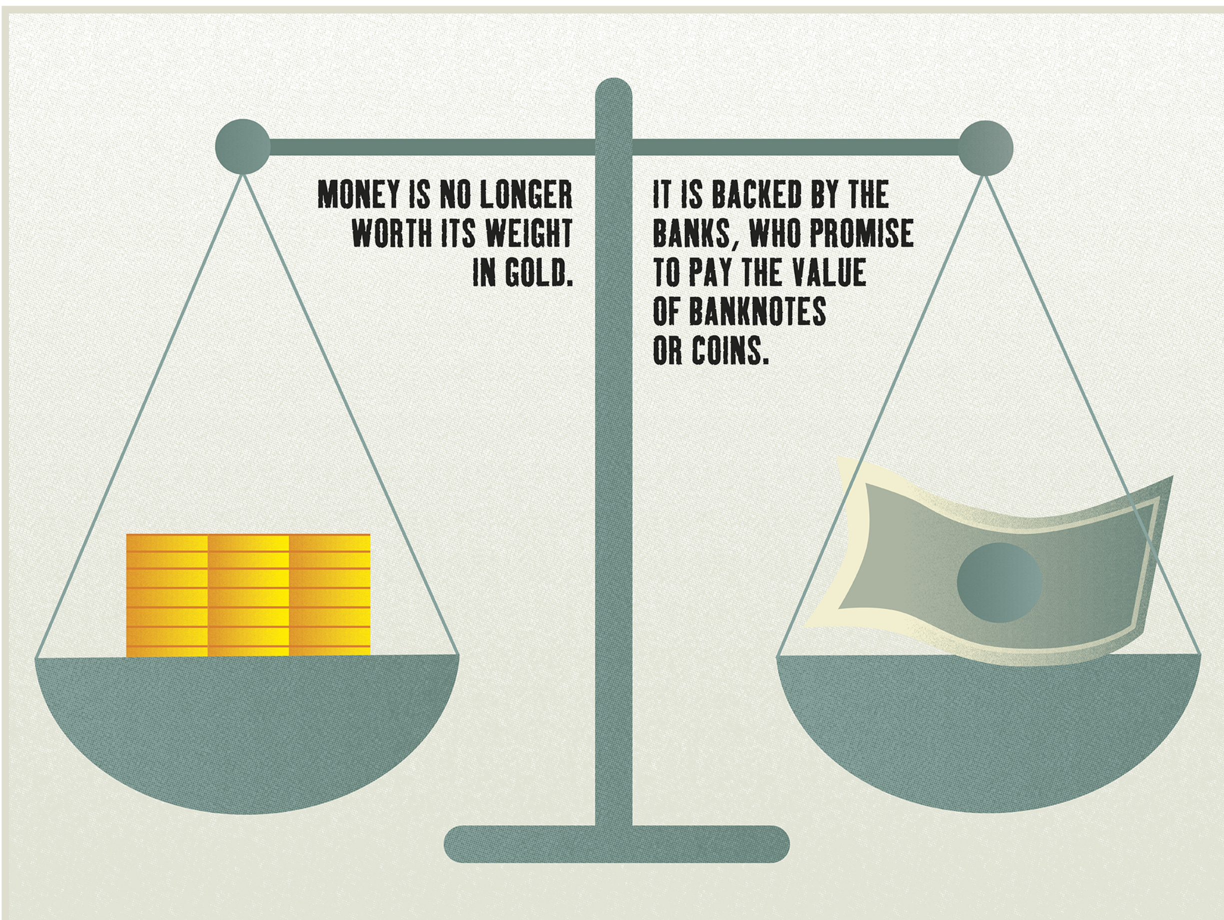
they were of a standard weight and quality. Money in the form of coins was adopted globally, and continues today.

The idea of commodity money, pricing goods by their equivalent value of gold or silver, for example, evolved. If someone deposited a sum of money in the form of coins in a bank, the bank issued a receipt on a piece of paper. This could be used if the person later wanted to withdraw the money. Over time, these receipts came to be accepted as money in the same way as the coins. This "paper money" in the form of banknotes—literally notes from the bank—had no actual worth, except as a promise to pay an amount of gold or silver money.



Paper gold

A banknote has almost no value in itself but represents a promise by a bank that the declared amount, originally of gold, will be paid to the bearer of the note.